

Fresno Madera Farm Credit Case Study
Fall 2025
Credit Application

General Information	
Primary Borrower:	San Joaquin Valley Orchards, LLC
Owners, including %:	• Carlo Martiez and Elena Martinez are the primary owners, they hold a 50% ownership interest in the company. • Daniel Martinez, their son, employed in a management role, does not hold any ownership interest in the company. • Rosa Martinez, Carlo Martinez's mother, represents the prior generation of family ownership and management.

Requests
Requests: San Joaquin Valley Orchards, LLC is requesting two different loans. 1. Renewal of their Operating Line of Credit, which can be used for funding annual production costs 2. Real Estate Term Loan, to purchase additional acreage in the Kerman-Easton area of Fresno County. The value of the property after appraisal is \$6,000,000. The acquisition totals approximately 200 acres, 80 acres for producing almonds, and the remaining 120 acres will be for open irrigated grounds that are expected to be leased.

Business & Management Overview
Business Background: • Type of operation – San Joaquin Valley Orchards, LLC, is a farming operation that grows and sells almonds and citrus. They also lease land to diversify their income. • Size of operation – The farming operation consists of around 950 acres. Approximately 650 acres for almonds and 300 acres for citrus. 800 acres owned by San Joaquin Valley Orchards, LLC; the remaining 150 acres are leased. • Marketing strategy – San Joaquin Valley Orchards markets its almonds through a cooperative handler and delivers its oranges through the Kings River Packing, with whom they have a long-standing relationship. • Ownership structure – Carlo Martiez and Elena Martinez are the primary owners; they hold a 50% ownership interest in the company. Daniel Martinez, their son, employed in a management role, does not hold any ownership interest in the company. Rosa Martinez, Carlo Martinez's mother, represents the prior generation of family ownership and management. • Business strategy – San Joaquin Valley Orchards, LLC is turning its focus to improving long-term yields of almonds/citrus and having better water reliability

through various reinvestment projects. These projects consist of replanting almonds into newer fertile varieties, rehabilitating their citrus to improve orchard health and irrigation performance, and installing a second deep agriculture well with irrigation improvements. With the real estate term loan, they plan on leasing open irrigated land to diversify their revenue. This will allow them to generate rental income on top of the income earned from selling their crops. Also, with the new funding, they plan on expanding their operations by 80 acres.

Management Team:

- Carlos Martinez is the Managing Member. He is responsible for the overall direction of the business. He oversees marketing relationships and is the primary decision maker when it comes to significant commitments.
- Elena Martinez is the Operations Manager. She manages administrative functions, maintains financial records, works with the CPA on tax preparation, and supports financing renewals and periodic reporting.
- Daniel Martinez is the Field Supervisor. He oversees the day-to-day operations of the business on the ranch. This includes irrigation scheduling, coordination with equipment and vendors, supervision of personnel, and tracking performance. Has assumed primary responsibility for field execution, but Carlo is still the final decision maker.
- Rosa Martinez is a part-time administrative support & helps with document organization, invoice tracking, and preparing information essential for financial and tax reporting.

Industry Analysis

Industry Analysis:

San Joaquin Valley Orchards LLC operates in California specialty crop agriculture, more specifically, permanent orchards such as almonds and oranges in eastern Fresno County. Their revenue is driven by global almond and orange supply/demand and handler/packers' timing with settlement. This industry also includes high fixed and variable costs, which include irrigation, labor, chemicals, and harvesting, that create large margin sensitivity when the prices of their commodities drop. Also, management regarding groundwater is tightening in the region, which may create regulatory and resource constraints (Fresno Irrigation 2025). For their near-term outlook, the industry is actively rebalancing mainly through removing acres. The Almond Board states that 49,197 acres were removed in 2025, which followed larger removals in 2024 and 2023. This supports long-run supply, but it can pressure pricing in the short term (Almonds 2025). Supply continues to be strong with USDA highlighting 3B lb of almond crop in 2025, which is driven by higher yield (USDA 2025). For oranges, production is modestly positive, while structural headwinds continue as acreage has declined in recent years (CitrusIndustry 2024). For long term outlook, almonds remain a mature global industry that has continued demand in snacks/ingredients but continued profitability will stem from sustained acreage removals, improvements in productivity, and water constraints/costs under SGMA (Almonds 2025). On the

other hand, Navel/Valencia oranges are a mature industry that's slowly declining. To be competitive, producers should strive to have strong packer relationships and be able to differentiate quality (CitrusIndustry 2024). Overall, the borrower's industry of California permanent orchards is mature and relatively stable, but cyclical regarding commodity price and a high input sensitivity.

Financial Analysis

The financial analysis covers San Joaquin Valley Orchards, LLC (the "LLC") over the three-year historical period from 2023 through 2025, as presented in borrower-provided financial statements. Financials are prepared on a cash/tax basis by the family's CPA, which introduces some information risk — accrual-based statements would more precisely capture period-matching of revenues and expenses. Accounts receivable and crop inventory are reported on the balance sheet, suggesting accruals, but the degree of GAAP compliance is unclear. Given the borrower's size and family-owned nature, this presentation is typical for agricultural operations and is considered acceptable for analysis, though it warrants acknowledgment as a moderate information risk. Financial statement years 2023–2025 are analyzed; projections for 2026–2028 are drawn from the student-prepared model in Exhibit B.

Borrower Analysis

Profitability

San Joaquin Valley Orchards, LLC experienced a meaningful revenue and profitability turnaround over the analysis period, driven almost entirely by growth in almond production as replanted orchards came into bearing.

Revenue improved substantially from \$3.3M in 2023 to \$5.7M in 2025, a 73% increase over two years. This was driven by two concurrent factors:

- Bearing almond acreage expanded from 350 acres in 2023 to 500 owned acres in 2025, as replanted blocks entered production. Leased almond acreage also began contributing, reaching 70 bearing acres in 2025.
- Almond pricing improved from \$1.85/lb in 2023 to \$2.60/lb in 2025, reflecting a favorable shift in commodity pricing.
- Yield improved from 2,200 lbs/acre to 2,400 lbs/acre on owned blocks as newly bearing orchards matured.
- Citrus revenue grew modestly from \$1.8M to \$2.2M, reflecting stable acreage and modest price/yield improvement.

Operating expenses rose from \$3.4M to \$4.1M over the period, a 19% increase, which is reasonable relative to revenue growth of 73%. The primary cost drivers are labor, custom harvesting, and water/irrigation — all variable with production scale. The 2025 depreciation

step-up to \$237K from \$185K reflects capitalized development costs beginning to be expensed as orchards mature.

Net Operating Income (NOI) swung from a (\$97K) loss in 2023 to \$1.68M in 2025, demonstrating the operation's leverage to almond production volume. Net income followed the same trajectory, from (\$635K) in 2023 to \$1.197M in 2025, with the 2023 loss amplified by \$538K in interest expense on existing term debt. The profitability trajectory is consistent with the known production ramp-up from the 2020–2022 replant program and is expected to continue improving as additional replanted acreage reaches full production.

Operating expense ratio improved from 103% of revenue in 2023 (i.e., operating at a loss) to 71% in 2025, confirming that the cost structure is largely fixed/semi-variable while revenue scaled with bearing acres.

Cash Flow

Debt service coverage has improved materially in line with profitability gains, though coverage remains transitional as the replanted almond portfolio continues ramping.

EBITDA improved from approximately \$626K in 2023 (\$-97K NOI + \$185K depreciation + \$538K interest) to \$2.4M in 2025 (\$1.68M NOI + \$237K depreciation + \$483K interest). This improvement reflects the increasing revenue contribution from maturing replanted orchards.

Debt Service Coverage Ratio (DSCR) — calculated as NOI + depreciation + interest divided by total debt service (interest + scheduled principal) — moved from a deeply negative position in 2023 (~-0.10x) to 1.52x in 2025 (from Key Ratios tab). The 2023 DSCR deficit was driven by the combination of minimal bearing almond acreage and full interest expense load on development debt that was accruing while orchards were non-bearing. The recovery to 1.52x by 2025 reflects the commencement of principal payments on the orchard development note in 2025, while revenue scaled considerably faster.

2026 Projected DSCR is expected to temporarily soften to approximately 0.97x, as modeled. This reflects the introduction of a full year of debt service on the proposed new real estate acquisition loan before the acquired acreage's income is fully realized, and while the existing replanted blocks are still working toward full production. By 2027, DSCR recovers to approximately 1.79x, and to 2.27x by 2028, as the almond portfolio approaches peak production.

The 2026 Monthly Cash Flow (Exhibit C-4) reveals meaningful seasonal variation. The LLC draws on the Operating Line of Credit during the heavy production expense months (May through August) and repays from fall harvest receipts (September–November). Net cash flow after debt service is projected at approximately \$426K for 2026, though with temporary monthly deficits in the May–August window. The operating line is structurally suited to this cycle and is expected to be fully repaid from harvest receipts.

Interest expense has been declining year-over-year as term balances amortize, falling from \$538K in 2023 to \$483K in 2025. The addition of the new acquisition loan will increase interest expense in 2026, though the modeled projection accounts for this.

Liquidity

Liquidity has improved consistently over the analysis period and is adequate to support ongoing operations.

Working capital (current assets minus current liabilities) improved from \$830K in 2023 to \$1.8M in 2025, a significant increase. The improvement reflects both growing cash balances (\$985K to \$1.487M) and the pay-down of the operating line of credit from \$1.55M to \$1.108M, suggesting disciplined seasonal repayment practices.

Current ratio improved from 1.34x in 2023 to 1.83x in 2025, and is projected to remain above 2.0x in 2027 and beyond as profitability grows and operating line utilization moderates.

Accounts receivable of \$1.65M in 2025 are attributable to crop sales made near year-end as almonds and citrus are sold through handlers. Days Sales Outstanding (DSO) averages approximately 105 days as of 2025, consistent with agricultural cooperative settlement timelines. This is not a concern, but should be noted as a normal feature of permanent crop operations.

Crop inventory is carried at \$700K–\$950K, representing harvested crop not yet sold or delivered. This is typical for almond operations where inventory may bridge from harvest through Q1 of the following year.

Pro forma liquidity post-acquisition: The \$6M acquisition, financed with a \$4.5M term loan and the remainder from existing cash and/or OLOC draw, will temporarily reduce cash balances. The OLOC balance is projected at approximately \$239K in 2026 at drawdown, well within the \$2.1M committed facility. Current ratio is projected at 2.23x in 2026, still strong, as current assets include growing receivables from increasing revenues.

Solvency

The LLC's balance sheet has strengthened materially over the analysis period, with leverage declining as equity builds.

Total equity grew from \$10.1M in 2023 to \$11.8M in 2025, driven by retained earnings accumulation as net income swung from losses to profitability. Member capital is consistent at \$8.9M following the 2015 reorganization.

Debt-to-equity ratio improved from 0.88x in 2023 to 0.65x in 2025, reflecting both earnings retention and scheduled amortization of existing term debt. Debt-to-asset ratio declined from 0.47x to 0.39x over the same period, indicating the asset base is predominantly equity-financed.

Farmland & improvements are carried at the book value of \$12.0M, which does not reflect the appraised market value. Given that owned acreage is appraised at \$30,000/acre (as indicated by the comparable sales analysis for the subject property), the 800 owned acres likely support a market value substantially above book, potentially in the range of \$20–24M+, depending on crop mix and condition. This latent equity represents meaningful unencumbered value supporting the secondary source of repayment.

Pro forma solvency post-acquisition: The addition of \$6.0M of farmland on the asset side and approximately \$4.5M of new term debt increases total assets to approximately \$23.1M and total liabilities to \$10.6M. Pro forma debt-to-equity is approximately 0.85x — temporarily elevated but consistent with leverage levels seen in 2023 and declining rapidly as income builds. Pro forma equity of approximately \$12.5M remains strong.

Projections

The 2026–2028 projections are built on the following key assumptions, which are assessed for reasonableness:

Assumption	Projected	Assessment
Almond price (2026)	\$2.69/lb	Modest 3.5% increase over 2025's \$2.60/lb — conservative relative to market
Almond yield — owned (2026)	2,441 lbs/acre weighted avg	Reasonable; reflects orchard age profile weighting
Almond yield — leased (2026)	1,561 lbs/acre weighted avg	Conservative; newer blocks in 4th–6th leaf
Citrus yield (2026)	~710 cartons/acre	Flat relative to 2024–2025 actuals — reasonable
New RE loan interest	7.0%	Applied to \$4.5M balance
OLOC interest	8.5% (per case instructions)	Applied to peak seasonal utilization
Labor cost growth	~4–6%/year	Reasonably given California's minimum wage trajectory
Lease income (tomato ground)	\$650/acre × 120 acres	Included in "Other Income" of \$173K from 2026 forward

The yield assumptions are grounded in the orchard age profile analysis embedded in the model. The weighted average yield in 2026 is constrained by the continued ramp-up of replanted blocks (4th–6th leaf), which are modeled at 30%–60% of mature productivity. By 2027–2028, those blocks approach the 7–15 leaf range, supporting materially higher yields and driving the DSCR recovery.

Break-even analysis (from Key Ratios tab):

- Almond break-even price in 2026: \$2.46/lb — approximately 8.5% below the projected \$2.69/lb price, providing a modest but real cushion.
- Almond break-even yield in 2026: 2,046 lbs/acre — below the projected weighted average, though not by a wide margin, suggesting limited tolerance for simultaneous yield and price stress in the near term.
- By 2027–2028, break-even prices decline to \$1.62/lb and \$1.46/lb, respectively, reflecting the significant improvement in scale and coverage as full production is achieved.

A stress scenario (middle case, 3.5% price haircut relative to base) is embedded in the model and shows DSCR remaining near or above 1.0x in 2026 before recovering in 2027–2028. A bear case (15% price reduction) would push 2026 DSCR below 1.0x, highlighting the importance of the production ramp-up timeline and the need for adequate liquidity support through the OLOC during the transition year.

Guarantor Analysis

Balance Sheet:

Carlos and Elena Martinez provide joint and several unlimited personal guaranties and are the 100% owners of the operating entity (50% each).

As guarantors, their financial capacity is closely aligned with the business. The operation reflects a strong and growing net worth, with total equity increasing from \$10.1MM in 2023 to \$11.8MM in 2025, supported by retained earnings and no material distributions.

The asset base is heavily concentrated in farmland and improvements (\$12.0MM book value), which likely understates market value based on appraisal support of approximately \$30,000 per acre. This provides meaningful collateral support and secondary repayment capacity through potential refinance or liquidation of real estate assets.

Liquidity is supported at the operating level through cash balances and working capital, along with access to a \$2.1M operating line of credit, which provides flexibility to manage seasonal cash flow needs.

Overall, guarantor support from a balance sheet perspective is strong and asset-backed, though concentrated in illiquid agricultural real estate.

Cash Flow:

Guarantor cash flow is derived from the farming operation. The business has returned to profitability, generating \$1.2M in net income in 2025 following the completion of the redevelopment cycle.

Cash flow is positive and improving, driven by increasing almond production and stable citrus revenues. The operation generates sufficient earnings to support ongoing obligations, with projected positive cash flow after debt service in 2026.

The absence of material distributions indicates earnings are being retained within the business, strengthening long-term repayment capacity rather than being withdrawn for personal use.

Global Cash Flow:

Global cash flow is effectively represented by the borrower, as guarantor income is tied to the operation.

The business demonstrates a clear improvement in cash flow and debt service capacity, transitioning from redevelopment-related weakness to stable performance. Historical and projected coverage reflects this trend, with adequate ability to meet debt service, operating expenses, and other obligations.

The primary stress point occurs in 2026, driven by the addition of new acquisition debt, resulting in tighter but still positive cash flow. Coverage improves thereafter as production ramps and debt amortizes.

Seasonal cash flow variability is managed through the operating line, and overall global cash flow is considered adequate to meet obligations.

Summary

Guarantor support is strong and directly aligned with the business, as the guarantors are the sole owners and operators of the farming entity. Their financial strength is reflected in a growing equity base, profitable operations, and substantial real estate holdings.

While liquidity is primarily tied to the operation, and the asset base is relatively illiquid, overall secondary support is considered adequate, with repayment primarily reliant on ongoing cash flow and underlying collateral value.

Collateral Analysis

Loan 1: Operating Line of Credit Renewal
Collateral

The primary collateral for the Operating Line of Credit consists of a first-priority lien on all crops, growing crops, crop proceeds, accounts receivable, and crop inventory. Secondary collateral support is provided through a blanket lien on equipment and vehicles, and cross-collateralization with the existing owned real estate base.

Security Position

The lender should hold a first-priority security interest in all crops, crop proceeds, accounts receivable, and inventory under a properly perfected UCC-1 financing statement. The existing OLC balance at year-end 2025 was \$1,108,000 — well below the \$2,100,000 commitment — indicating the line has not been fully drawn and that the borrower manages it with typical seasonal discipline.

A blanket lien on equipment provides additional secondary coverage, though the net book value is modest (~\$429K) and liquidation values for used farm equipment are typically a fraction of book.

Real estate cross-collateralization, if structured, would be behind the existing first deed of trust securing the existing Real Estate Term Loan (\$2,503,000 outstanding at FY2025). Any second-lien position on real estate should be evaluated in light of that senior claim.

Protection

The OLC is designed to be self-liquidating, meaning the borrower draws on the line throughout the year to cover production costs and pays it down once crops are harvested and proceeds come in. Based on the information in Exhibits A and C, the collateral appears to provide adequate coverage for the \$2,100,000 commitment.

Accounts receivable of \$1,650,000 and crop inventory of \$700,000 from 2025 total \$2,350,000 that is expected to be collected in early 2026, which alone covers about 112% of the full commitment. Once you add in the projected 2026 crop receipts of \$6,445,000, the coverage becomes much stronger. The OLC commitment represents only about 37% of the 2025 total revenue of \$5,732,000, which is reasonable for a diversified orchard operation of this size.

Equipment and real estate cross-collateralization provide additional support, but the real protection for this loan comes from the primary collateral (the crops and receivables) since the line is meant to be repaid from operations each year rather than through collateral liquidation.

“Subject to” Conditions

- Perfected UCC-1 filing in place covering crops, crop proceeds, accounts receivable, inventory, and equipment before renewal closing.
- Evidence of crop insurance on both almonds and citrus, with Farm Credit named as loss payee. This way, if there's a crop failure, the insurance proceeds would flow through to help repay the line.
- Annual submission of financial statements (tax returns and/or CPA-prepared statements) is required each year to support renewal.
- Accounts receivable aging and handler/packer documentation to confirm the \$1,650,000 A/R balance is actually collectible.

- If real estate is included in the cross-collateralization, confirm lien priority behind the existing RE term lender.

Risk Factors

The biggest risk with this line is commodity price exposure. This is because Almond prices have been volatile in recent years, and if the prices were to significantly drop, the value of the line's collateral would drop as well. A bad pricing year could compress coverage below 1:1 even if the line is fully drawn.

There's also a concentration risk in the accounts receivable. The \$1,650,000 A/R balance depends on the almond cooperative handler and Kings River Packing paying out on time. If either of them had financial trouble or a delayed settlement, collection could be impaired. Farm Credit should understand who these handlers are and whether their financials are sound.

Crop inventory on the balance sheet (\$700,000) is self-reported by the borrower and isn't audited, so the actual liquidation value could be different from book value depending on market prices at the time of sale.

Finally, the addition of the new real estate term loan is going to add significant debt service on top of existing obligations. This could pressure the borrower's ability to fully clean up the line annually, which is something Farm Credit should make sure to monitor going forward. At year-end 2025, they only had \$1,108,000 drawn on a \$2,100,000 line, which is a good sign, but that could change once the new debt is added.

Loan 2: Real Estate Term Loan Collateral

The collateral for the loan is the 200-acre property the borrower is looking to purchase. This property includes an 80-acre block for producing almonds in the 10th leaf and 120 acres of open irrigated ground.

Security Position

The lender would likely want a first lien on the acquired real estate and an assignment of lease income related to the 120 acres of open ground. Based on the appraisal summary, the property has a reconciled value of \$6,000,000, using \$30,000 per acre for 200 acres of land under the Sales Comparison Approach. Under the Simplified Income Approach, the value of the property is lower at \$4,608,000. This is made up of \$2,880,000 from the 80-acre almond block and then approximately \$1,728,000 for the 120 acres of open ground.

Protection

Collateral support does depend on valuation assumptions, as the valuation of the land goes from \$6,000,000 to as low as \$4,608,000. Protection would be less certain if the lender focuses on the lower income approach value (\$4,608,000). Overall, the property provides good support, but it will depend on the final loan amount. Underwriting should not rely on the highest valuation alone.

“Subject to” Conditions

- Subject to title review confirming the first-lien position on the acquired property
- Subject to customary due diligence on the real estate purchase, including verification of property condition, water availability, and well information.
- With part of the projected support coming from the 120 acres of open irrigated ground that is going to be leased to a tomato grower, the lender should review the lease terms and confirm the assignability of rents.
- Subject to a formal third-party appraisal.

Risk Factors

Water reliability is the largest risk factor affecting this collateral. Any weakness in water access, pumping capacity, or groundwater compliance negatively impacts both the productivity and marketability of the property. Other risks affecting the collateral would include both orchard-specific marketability and mixed-use valuation risk. Orchard value is influenced by several different factors, meaning that if orchard performance weakens, the 80-acre almond block could sometimes not trade at values implied by farmland averages. Also, the property includes open irrigated ground, meaning valuations would not be as simple as if it were a fully uniform property. Lease risk must also be considered, with near-term cash flow support and overall property value depending on lease income and the tenant quality.

Risks & Mitigants	
Identified Risks	Mitigants Mitigants should relate directly to the corresponding risk. The mitigant should answer the questions: How is management addressing this risk in their business plan? How can the bank optimize loan structure to reduce risk?
Business Risk – ● Market Risk- Almonds represent the majority of acreage and a growing share of revenue. Almond prices are globally traded and historically volatile, driven by California supply levels, export demand, and competitive tree nut pricing. ● Weather- Frost events during bloom, heat, and drought affect the harvest yield of almonds and citrus.	● Having a diverse crop provides protection against crop downcycles. ● Crop insurance provides a safety net against unavoidable natural disasters and volatile market fluctuations ● Life Insurance on Carlos and encourage formalization for the succession plan in the covenant. ● Having water from the well and from the irrigation district provides security.

● Management Risk- Loss of key personnel would create a significant operational and financial risk. ● Production Risk- Water availability is important during the growing season. The farm relies on the Fresno Irrigation District. During drought years, this could increase the cost to pump, depletion of existing water, and add stress to the well. Crop yields would be compressed and potentially cause damage to the orchard.	Lenders should verify water entitlements, well permits, compliance status, and second-well capacity as due diligence conditions, with annual water usage reporting as a covenant.
Financial Risk – ● Near-Term DSCR Compression (2026). Projected DSCR dips to approximately 0.97x in 2026, temporarily below the 1.0x threshold, as the operation carries a full year of debt service on the new acquisition loan before the acquired acreage's income is fully realized and while replanted almond blocks are still ramping up production. This creates meaningful execution risk if revenues come in below plan ● . Revenue Concentration and Price Volatility (Almonds). Almonds represent approximately 61% of the total 2025 revenue and will increase as a proportion post-acquisition. Almond commodity prices are cyclical and have experienced significant swings historically. A return to the sub-\$2.00/lb environment seen in prior years would materially impair debt service coverage. ● Yield Ramp Risk on Replanted Blocks. A significant portion of the almond portfolio (approximately 300 acres across owned and leased blocks) consists of orchards in the 4th–6th leaf in 2026, which are modeled at 30%–60% of mature productivity. If	● The shortfall is narrow (~3 basis points below 1.0x) and structural — driven by timing, not deteriorating fundamentals. By 2027, DSCR recovers to approximately 1.79x and 2.27x by 2028 as orchards reach full production. The \$2.1M committed OLOC provides a liquidity bridge during any cash flow shortfall months. The tomato lease on the 120 open acres provides \$78K of relatively stable, non-weather-dependent income beginning at closing. Lender may consider a covenant at 1.0x with a cure period rather than a hard trip wire to accommodate the ramp-up. ● Citrus provides meaningful diversification, contributing ~\$2.2M (38% of 2025 revenues) and insulating the operation from an almond-only shock. The break-even almond price of \$2.46/lb in 2026 is below recent market levels. The operation maintains crop insurance on both commodities, limiting catastrophic revenue impairment from weather or disease events. The cooperative marketing relationship for almonds provides logistical reliability and market access. Almond prices in the

replanted orchards underperform during this critical transition period — due to water stress, disease pressure, or adverse weather — revenues could fall materially short of projections. ● Quality of Financial Information. Financials are borrower-prepared and submitted on a tax/cash basis, limiting the precision of period-to-period comparisons. Without CPA-reviewed or audited statements, the lender relies on borrower representations for income recognition, asset valuation, and liability completeness. ● Leverage Temporarily Elevated Post-Acquisition. Pro forma debt-to-equity increases to approximately 0.85x in 2026 from 0.65x at year-end 2025 as the \$4.5M acquisition loan is added to the balance sheet. While this remains within a reasonable range for a well-collateralized permanent crop operation, the temporary leverage increase adds sensitivity to any unexpected cash flow shortfall.	\$2.60–\$2.70/lb range have been supported in recent years by export demand growth, though no price guarantee exists. ● The replanted blocks consist of self-fertile varieties, which are increasingly well-regarded for production consistency. Established blocks (350 acres planted 2008–2012) provide a stable production base that will continue performing at mature yields regardless of replant performance. Water supply from both district surface deliveries and on-farm wells (recently expanded in 2022) reduces irrigation-related yield risk. Daniel Martinez's field supervision role demonstrates active operational management of the replanting program through six seasons of successful cultivation. ● The operation has used a consistent CPA for annual tax preparation, lending some structural credibility to the financials. The balance sheet includes both A/R and crop inventory, suggesting some accrual elements and improving the reliability of period-end asset representation. Standard reporting covenants (annual CPA-prepared tax returns, annual borrower-prepared financial statements within 120 days of year-end) should be required as a condition of the credit. A financial covenant (minimum DSCR of 1.10x measured annually beginning 2027, minimum current ratio of 1.20x) would provide an early warning mechanism. ● The leverage increase is fully collateralized by the acquired real estate, which is independently appraised at \$6.0M, supporting an LTV of
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	approximately 75% on the new loan. The broader real estate portfolio (800 owned acres at market values substantially above book) provides additional collateral depth. Leverage is projected to decline rapidly through 2027–2028 as retained earnings compound and term debt amortizes. The debt-to-asset ratio remains below 0.50x on a pro forma basis and declines toward 0.34x by 2028.
Group/Structural Risk – Group risks are associated with the organizational or ownership structure of the entities. Typically, this risk is attributed to one or more of the following: • Multiple entities/complex organizational structure • Intercompany transfers/transactions • Change in ownership/control • Off-balance sheet liabilities Structural risks are associated with the proposed financing structure. Typically, this risk is attributed to one or more of the following: • Unsecured facilities • Collateral quality/marketability • High Loan-to-Value Ratio • No cross-default • Liens not in 1st positions • Lack of controls/monitoring • No covenants • No inspection • Amortization exceeds the useful life of the underlying collateral • Lack of guarantee	• Borrower structure • Guarantor structure • Cross default • Excellent quality/marketability of collateral • Conservative advance rates • Budget/borrowing base monitoring • Collateral inspections • Adequate risk-based pricing • Amortization shorter than the useful life of collateral • Covenants

Recommendation

San Joaquin Valley Orchards, LLC is recommended for approval of a new Real Estate Term Loan in the amount of \$4,200,000 to support the acquisition of approximately 200 acres of irrigated farmland in the Kerman–Easton area of Fresno County, and renewal of the existing Operating Line of Credit at \$2,100,000 to fund seasonal production costs across the existing farming operation. The credit is extended to San Joaquin Valley Orchards, LLC, with personal guarantees from Carlos Martinez and Elena Martinez as the controlling members.

This recommendation is supported by the operation's strong collateral position, improving financial trajectory, experienced management team, and a clear and credible production ramp-up story rooted in the 2020–2022 almond redevelopment program. While near-term debt service coverage is transitional, the underlying business fundamentals are sound, and the identified risks are considered acceptable within the context of Farm Credit's mission to support long-term agricultural operations.

Key Risks and Why They Are Acceptable

Near-Term DSCR Compression. The most significant financial risk identified in this analysis is the projected DSCR of approximately 0.97x in 2026, which falls modestly below the 1.0x threshold. This compression is structural and timing-driven rather than indicative of fundamental credit deterioration. It results from the operation carrying a full year of debt service on the new acquisition loan before the acquired acreage's income — including the tomato farm lease on the 120 open acres — is fully realized, and while the replanted almond blocks planted in 2020–2022 continue their production ramp-up. By 2027, DSCR recovers to approximately 1.79x and reaches 2.27x by 2028 as orchards approach full production. The \$2.1M Operating Line of Credit provides a sufficient liquidity bridge during the transition year, and working capital of \$1.8M at year-end 2025 offers additional cushion. The risk is considered acceptable given the narrow magnitude of the shortfall, the clarity of the recovery path, and the strength of the collateral supporting the credit.

Commodity Price and Revenue Concentration. Almonds represent approximately 61% of 2025 revenues and will increase as a share of total revenues following the acquisition. Almond pricing is cyclical, and a return to the sub-\$2.00 per pound environment experienced in prior market cycles would materially impair debt service coverage. This risk is mitigated by the meaningful contribution of citrus revenues (approximately 38% of 2025 revenues), which provides diversification against an almond-only price shock. Additionally, the break-even almond price in 2026 is estimated at approximately \$2.46 per pound — below current market levels — and declines substantially in 2027 and 2028 as production scale improves. Crop insurance is maintained on both commodities, and the five-year tomato farm lease on the acquired open ground provides stable, weather-independent income not correlated to permanent crop pricing.

The risk is considered manageable within the context of the operation's diversified revenue base and improving cost efficiency.

Production Ramp-Up Risk. Approximately 300 acres of the almond portfolio consist of replanted orchards in the 4th through 6th leaf in 2026, modeled at 30% to 60% of mature productivity. Underperformance of these blocks due to weather, irrigation inefficiency, or pest pressure could result in revenues falling short of projections. This risk is mitigated by the mature, producing blocks planted in 2008 through 2012 — totaling 350 owned acres — which provide a stable production base independent of replant performance. The operation's dual water supply (Fresno Irrigation District surface deliveries and two on-farm wells, including the deep well installed in 2022) reduces the irrigation-related vulnerability of younger blocks. Daniel Martinez's active field management role over six consecutive growing seasons of the replanted orchards further supports confidence in execution.

Management Succession and Key-Person Dependency. The operation is closely held and historically dependent on Carlos Martinez for strategic direction and lender relationships. While Elena Martinez manages administration and finance with competence, and Daniel Martinez has taken on meaningful operational responsibility over the past two seasons, the full transition of leadership is still in progress. This risk is partially mitigated by the generational depth already demonstrated in the business — the operation has successfully navigated prior transitions — and is further addressed through personal guarantees from both Carlos and Elena, which align owner incentives with loan performance and preserve the bank's recourse in the event of unexpected disruption to management continuity.

Quality of Financial Information. Borrower-provided financials are prepared on a tax/cash basis by the family's CPA, which introduces moderate information risk relative to audited or reviewed accrual-basis statements. This is considered typical and acceptable for a privately held farming operation of this size. The consistency of CPA preparation across years and the inclusion of receivables and inventory on the balance sheet provide a reasonable degree of reliability. Required reporting covenants, described below, are designed to ensure timely and consistent financial transparency throughout the credit relationship.

Structural Rationale

Real Estate Term Loan — \$4,200,000

The loan amount of \$4,200,000 represents a 70% loan-to-value ratio against the \$6,000,000 appraised value of the subject property, requiring the borrower to contribute approximately \$1,800,000 in equity at closing. While the borrower requested \$4,500,000 (75% LTV), the recommended loan amount reflects the conservatism warranted by the gap between the Sales Comparison value of \$6,000,000 and the Income Approach indication of \$4,608,000, which relies on near-term lease income assumptions and may not be fully sustained if the tomato lease is not executed or renewed. The 70% advance rate provides a meaningful collateral cushion and reduces the bank's exposure in a stress scenario.

A 20-year amortization is recommended to align with the productive life of the almond improvements on the acquired property and to ensure disciplined principal reduction.

Straight-line amortization with annual payments timed to harvest settlement receipts reflects the seasonal cash flow pattern of the operation. The loan is secured by a first lien on the acquired real estate and is cross-collateralized with the existing real estate portfolio to strengthen the bank's overall collateral position.

Personal guarantees from Carlos Martinez and Elena Martinez are required as the 50/50 owners of the LLC. As a single-purpose farming entity without independent access to capital markets, the personal guarantee of the controlling members is essential to ensure alignment of interest and preserve the bank's secondary recourse.

A subject-to condition requiring confirmation of the executed five-year tomato farm lease on the 120 acres of open ground at or prior to closing is required. The lease income was incorporated into the acquisition underwriting and represents a meaningful stabilizing revenue stream for the property. Verification prior to funding ensures the income assumption is not speculative.

Operating Line of Credit — \$2,100,000 (Renewal)

The \$2,100,000 commitment is consistent with the historical facility size and reflects the expanded production base following the almond replant program. Seasonal utilization in 2025 peaked well within the committed amount, and the 2026 cash expense budget supports the commitment level as appropriate. The facility is structured as a revolving seasonal line with interest accruing at 8.50% per the case study assumption.

A 30-day annual cleanup requirement is imposed to confirm the facility is functioning as a true seasonal working capital line rather than providing permanent financing. The cleanup period should align with the post-harvest period when harvest receipts are collected and operating expenses are at seasonal lows, targeted for the January through February window based on the monthly cash flow budget.

Reporting Requirements and Financial Covenants

The following reporting requirements are required for both facilities:

- Annual borrower-prepared financial statements (balance sheet and income statement) within 90 days of the fiscal year-end
- Annual CPA-prepared federal tax returns within 30 days of filing, including all schedules
- Annual crop insurance confirmation prior to the commencement of each growing season
- Prompt written notice of any material adverse change in operations, management, or ownership

The following financial covenants apply on an annual basis, tested as of the fiscal year-end:

- Minimum DSCR of 1.10x, effective beginning fiscal year 2027, allowing one transition year for the production ramp-up and new debt to normalize. A breach triggers a cure period of 90 days, during which management must present a remediation plan.
- Minimum Current Ratio of 1.20x, tested annually, to ensure adequate working capital and liquidity to support seasonal operating needs.

- Maximum Debt-to-Asset Ratio of 0.60x, consistent with pro forma leverage at closing and providing a guardrail against future over-leveraging of the balance sheet.

These covenants are designed to provide early warning indicators of financial stress without being so restrictive as to create technical defaults during the known near-term ramp-up period. Taken together, they reflect a credit structure appropriate for a strong, improving agricultural borrower making a strategic expansion within its core operating geography.